April 2026

INTRODUCTION

In 2022, the Department of Education entered into a settlement with a class of student-loan borrowers who assert that they were defrauded by their schools and who had administrative applications for student-loan relief pending. Since then, the Department has almost entirely implemented its settlement obligations with respect to the class members, providing $12 billion in discharges and refunds to nearly 300,000 borrowers.

In addition, the Department agreed to resolve, by January 28, 2026, certain additional applications submitted after the settlement's execution by non-class members who are not plaintiffs in this case, are not bound by the settlement, and have not waived any claims through the settlement. But in the five-month period for such "post-class applications," more than 250,000 applications were submitted—a number that far exceeded the Department's expectations and was more than five times as many applications as have been submitted in any other comparable period since 2020. As a result, the Department was able to meet its January 2026 deadline only for approximately 60,000 of the 250,000 applications. Thus, under the agreement, the Department would be required to provide more than $11 billion in automatic discharges and $600 million in refunds to the remaining applicants.

To avoid that substantial windfall at taxpayer expense, in November 2025, the Department requested under Federal Rule of Civil Procedure 60(b) that the district court extend the deadline by 18 months. The Department explained that, in light of the unexpectedly large number of post-class applicants, resource constraints prevented it from meeting the original deadline. But because Congress had recently appropriated additional funds to the Department, it had developed a plan to hire hundreds of attorneys (on a combination of permanent and contract bases), which would allow the agency to complete all 250,000 individualized adjudications by July 2027. And in the interim, the borrowers' relevant loans would remain in forbearance, ensuring that they are not required to make any payments.

The district court refused to grant the Department relief in substantial part. Although the court recognized that it had power to modify the deadline (and did not dispute that the Department had met the threshold requirements to invoke Rule 60(b)(5)), it concluded that the harm to the government and the public from providing billions of dollars in automatic relief did not justify the requested modification. And on a second motion for Rule 60(b) relief or for reconsideration, the court again refused to grant the Department relief.

Those decisions were erroneous on all levels. They improperly elevated the interests of the non-class member beneficiaries over the interests of the parties and the public in ensuring that funds are not disbursed to applicants who do not deserve them

on the merits—based in substantial part on an erroneous legal conclusion that the post-class applicants were members of the class and thus parties to this case. And they rested on a series of clearly erroneous factual findings and unsupported assumptions—including, for example, the district court's belief that the 40 attorneys employed in the relevant office could complete 170,000 individualized adjudications in six weeks if only the attorneys were sufficiently industrious and willing to work on Christmas and New Year's Day.

The substantial legal and factual errors in the district court's approach reflect a clear abuse of discretion. With those errors corrected, it is plain that the Department was entitled to a reasonable extension of the deadline. That extension is necessary in light of the unforeseen number of post-class applications. And it is supported by the relevant equitable balancing, because the interests of the government and the public in ensuring that taxpayer funds are only disbursed to those borrowers who are entitled to relief on the merits outweigh any cognizable interests that the non-party post-class applicants have in strict enforcement of the deadline.

STATEMENT OF JURISDICTION

The district court had jurisdiction over the underlying suit under 28 U.S.C. § 1331. The court entered final judgment in that suit on November 16, 2022. ER-139. On December 11, 2025, the district court largely denied the government's motion for relief from the judgment under Rule 60(b). *See* Dkt. No. 508 (minute order); *see also*

ER-088-91. On February 9, 2026, the district court extended the deadline for the government to file a notice of appeal from that denial by 14 days, to February 23, 2026. *See* Dkt. No. 526 (minute order); *see also* Fed. R. App. P. 4(a)(5) (permitting such extensions). On February 23, 2026, the district court further extended the deadline to February 25, 2026. *See* Dkt. No. 528 (minute order). On February 24, 2026, the district court entered an order denying the government's second motion for relief under Rule 60(b). *See* ER-009. Also on February 24, 2026, the government filed a timely notice of appeal of both Rule 60(b) denials. *See* ER-093-94. This Court has appellate jurisdiction under 28 U.S.C. § 1291.

STATEMENT OF THE ISSUE

The issue presented is whether the district court abused its discretion by largely refusing to modify its final judgment to extend the deadline for the Department to adjudicate post-class applications.

STATEMENT OF THE CASE

A. Legal and Factual Background

1. "Congress has allowed for the cancellation of federal student loans in certain cases of school misconduct" pursuant to a process known as borrower defense. *In re U.S. Dep't of Educ.*, 25 F.4th 692, 695 (9th Cir. 2022). Borrowers may claim entitlement to relief if their institution engaged in actionable misconduct, such as by providing prospective students with materially false information to induce their attendance.

At a high level of generality, the process usually works as follows: To raise a claim, a borrower submits an administrative application. In adjudicating that application, the Department is generally required first to determine whether the borrower has established that the institution engaged in actionable misconduct. If so, the Department determines what relief is appropriate. Such relief may include forgiving outstanding loan balances and reimbursing the borrower for loan payments already made. *See generally, e.g.*, 34 C.F.R. § 685.222 (2020).

2. Before 2015, the borrower-defense process was "rarely used." 81 Fed. Reg. 39,330, 39,330 (June 16, 2016). That year, however, Corinthian Colleges, Inc., a for-profit company that operated postsecondary schools with a collective enrollment of more than 70,000 students, filed for bankruptcy; that filing resulted in a "flood" of borrower-defense claims submitted by Corinthian students. *See id.* at 39,330-31, 39,335. Over the following four years, the Department revised its regulations twice (in 2016 and 2019) and worked to develop internal processes and infrastructure to allow the consistent and timely adjudication of claims, all while responding to multiple district court decisions, some of which required the implementation of different borrower-defense regulations or enjoined established procedures. *See Calvillo Manriquez v. DeVos*, 345 F. Supp. 3d 1077 (N.D. Cal. 2018); *Bauer v. DeVos*, 332 F. Supp. 3d 181 (D.D.C. 2018); *California Ass'n of Priv. Postsecondary Sch. v. DeVos*, 344 F. Supp. 3d 158 (D.D.C. 2018). Throughout that time, the Department was unable to

adjudicate applications at the rate that they were being filed and, eventually, paused the issuance of final decisions while it worked to develop a methodology to govern adjudications. *See U.S. Dep't of Educ.*, 25 F.4th at 695-96.

By the time this suit was filed in June 2019, the Department's backlog had grown to more than 210,000 pending applications. *See U.S. Dep't of Educ.*, 25 F.4th at 696. Plaintiffs—a class of borrowers with pending applications—alleged that the Department had unlawfully withheld, or was unreasonably delaying, adjudications. The district court initially certified a class under Federal Rule of Civil Procedure 23(b)(2) consisting of "[a]ll people who borrowed a Direct Loan or [Family Education] loan to pay for a program of higher education, who have asserted a borrower defense to repayment to the U.S. Department of Education, whose borrower defense has not been granted or denied on the merits, and who is not a class member in" another suit seeking borrower-defense relief in connection with a particular set of schools. ER-142 (quotation omitted).

B. Procedural Background

1. Following years of litigation, the government and the plaintiff class reached a settlement in June 2022. That settlement provides a framework for comprehensively addressing the backlog of hundreds of thousands of borrower-defense applications by breaking up applicants into different groups. First, the settlement explains that the relevant "plaintiff class" is those who meet the district court's certified class definition

"as of the Execution Date"—that is, the date that the parties signed the agreement. *See* ER-176-77; *see also* ER-174. The settlement divided the class members into two different groups.

Group One comprised approximately 196,000 class members who received federal student loans to attend one of the 151 specific schools, referred to as "Exhibit C" schools. *See* ER-177. Under the settlement, these class members were entitled to both an automatic discharge of their remaining student loans associated with the school as well as a refund of amounts already paid to the Department toward those loans. *See* ER-177-78.

As the parties explained to the district court, the government and plaintiffs agreed to include institutions on Exhibit C that had a large volume of applications and for which there were sufficiently "strong indicia regarding substantial misconduct" to warrant "presumptive relief, for purposes of th[e] settlement." ER-217. But the parties have also explained that actual misconduct for Exhibit C schools was only "in some instances proven," while in others it was merely "credibly alleged." *Id.* Thus, the Department has been clear that inclusion in Exhibit C is not evidence—much less a determination—that a school engaged in misconduct. *See* ER-170. Instead, the Department agreed to provide "presumptive relief" to class members who attended those schools because of "high rate[s] of class members with applications related to the

listed schools" and because "[c]learing these claims through provision of expeditious upfront relief will significantly reduce the backlog of pending claims." ER-217, 232.

Group Two comprised the remaining approximately 100,000 class members who did not attend Exhibit C schools. The settlement provided that those class members would receive a streamlined adjudication of their borrower-defense applications with certain presumptions in the borrower's favor, and the settlement required the Department to issue decisions on those adjudications in accordance with a rolling series of deadlines between July 2023 and July 2025. *See* ER-178-82. The Department has substantially complied with its obligations with respect to both sets of class members, and their claims are not at issue here.

In addition, the settlement provided relief to additional borrowers who "submit[ted] a borrower defense application after the Execution Date (i.e., the date the class closes), but before the Final Approval Date" (that is, the date that the settlement was approved by the district court). *See* ER-182. It is this portion of the settlement that is at issue here.

The settlement agreement is clear that these borrowers—referred to as "post-class applicants" or as "Group Three"—are not class members, are not bound by the settlement, and did not waive any claims through the settlement. *See* ER-174, 176-77, 182, 192. Nonetheless, as part of the settlement, the Department agreed to provide them some limited relief. Specifically, the Department agreed to issue a decision on each

post-class application no later than January 28, 2026. *See* ER-182. Under the settlement, if the Department fails to issue "a timely decision" to any post-class applicant, the Department must provide a full discharge and refund. *Id.*

In addition, the Department agreed that, in evaluating those applications, it would "apply the standards in the borrower defense regulations published by the Department on November 1, 2016." ER-182. To receive relief under those standards, an applicant is generally required to establish that the school he attended "made a substantial misrepresentation" that "the borrower reasonably relied on to the borrower's detriment when the borrower decided to attend, or to continue attending, the school." 81 Fed. Reg. 75,926, 76,083 (Nov. 1, 2016). Or the applicant may establish that he has obtained "a nondefault, favorable contested judgment" against the school that meets certain criteria or that the school breached a contract with the student. *See id.*

SUMMARY OF ARGUMENT

As the district court correctly recognized, a court may properly modify its final judgment—including a settlement agreement incorporated into a final judgment—in certain situations, including where circumstances have materially changed and continued enforcement of the original judgment is no longer equitable or where extraordinary circumstances otherwise justify relief. And as the court also did not dispute, the threshold requirements for modification are met in this case, because a combination of unforeseen circumstances has resulted in the settlement's post-class

applicant provisions being substantially more burdensome than anticipated for the Department and more costly than anticipated for the taxpayer.

Nonetheless, the district court largely denied the government's request to modify the final judgment by extending the time within which the Department must adjudicate post-class applications. The court did so because it believed that modification was not supported by the equities. That conclusion, however, rested on legal errors and clearly erroneous factual findings. With those errors corrected, it is clear that the equities support modifying the judgment. The court's orders should be reversed.

A. The relevant equities strongly support modifying the post-class application deadline to provide the Department with additional time to adjudicate those applications on the merits. On the one side of the balance, the harm to the government and the taxpayer from enforcement of the deadline is clear: the government will be required to provide billions of dollars in discharges and hundreds of millions of dollars in refunds to borrowers whose entitlement to relief on the merits has not been established. That substantial windfall at taxpayer expense is only more inequitable in this case, because the settlement provides borrowers with substantially more relief than they ever would have been entitled to on their claims.

B. In addition, relevant circumstances have changed since the Department entered into the agreement in June 2022. The combined effect of those changes has

been to substantially increase the burden on the Department—and the cost to the taxpayer—associated with the settlement's post-class applicant provisions.

C. Finally, the district court's additional reasons for denying relief do not withstand scrutiny. Although the court seemed to believe that the Department could meet the deadline by adjudicating 170,000 applications in six weeks, that belief has no support in the record. And the court's belief that the post-class applicants constitute members of the class was legally erroneous; the parties' settlement agreement—which unambiguously carves post-class applicants out of the class—was incorporated into the final judgment and thereby supersedes the earlier class definition that may have encompassed post-class applicants.

STANDARD OF REVIEW

This Court "review[s] for an abuse of discretion the district court's decision to deny a Rule 60(b) motion." *California ex rel. Becerra v. U.S. EPA*, 978 F.3d 708, 713 (9th Cir. 2020) (quotation omitted). A district court "necessarily abuse[s] its discretion" when its denial "rest[s] upon an erroneous view of the law" or "on a clearly erroneous finding of material fact." *Henson v. Fidelity Nat'l Fin., Inc.*, 943 F.3d 434, 443 (9th Cir. 2019) (quotation omitted).

ARGUMENT

I. The District Court Abused Its Discretion in Denying the Department's Motions to Modify the Post-Class Applicant Deadline

As the district court properly did not dispute, courts retain authority following the entry of final judgment to modify the judgment in certain circumstances. These include if applying the judgment "prospectively is no longer equitable," Fed. R. Civ. P. 60(b)(5), or for "any other reason that justifies relief," Fed. R. Civ. P. 60(b)(6).

Rule 60(b)(5)'s "malleable standard for modifying an injunction" reflects "the courts' traditional authority, inherent in the jurisdiction of the chancery, to modify or vacate the prospective effect of their decrees." *California ex rel. Becerra v. U.S. EPA*, 978 F.3d 708, 713 (9th Cir. 2020) (quotation omitted). In general, a party seeking to modify an injunction under Rule 60(b)(5) is required to establish that "a significant change either in factual conditions or in law renders continued enforcement detrimental to the public interest"; if such a showing is made, however, "a court abuses its discretion when it refuses to modify an injunction or consent decree in light of such changes." *Horne v. Flores*, 557 U.S. 433, 447 (2009) (quotation omitted); *see also Rufo v. Inmates of Suffolk Cnty. Jail*, 502 U.S. 367, 384 (1992) (making clear that modification of a consent decree may be warranted "when enforcement of the decree without modification would be detrimental to the public interest").

In addition, Rule 60(b)(6) permits a district court to modify a judgment "whenever such action is appropriate to accomplish justice." *Henson v. Fidelity Nat'l*

Fin., Inc., 943 F.3d 434, 443 (9th Cir. 2019) (quotation omitted). To establish an entitlement to relief under that provision, a movant "must show extraordinary circumstances justifying the reopening of a final judgment"; if those circumstances are shown, the court should grant relief "whenever, under all the surrounding circumstances, such action is appropriate in the furtherance of justice." *Id.* at 443-44 (quotation omitted).

The district court did not dispute that Rule 60(b) permits the court to modify terms in a settlement that has been approved by the court and incorporated into the final judgment, as happened here. *See Kelly v. Wengler*, 822 F.3d 1085, 1094-98 (9th Cir. 2016). Nor did the court dispute that the threshold requirements for relief under Rule 60(b)(5) or Rule 60(b)(6) were met—and indeed granted relief in part by extending the deadline for a small subset of post-class applications by three months. Nonetheless, the court largely declined to exercise its authority to extend the post-class application deadline, because the court believed that the equities did not support such an extension.

That decision was incorrect on all levels. The equities strongly support modification of the post-class deadline. Absent modification, enforcing the deadline will work a substantial harm on the government and the public by requiring the government to provide billions of dollars in relief to applicants who may not be entitled to that relief on the merits. And conversely, neither the parties to this case—which do

not, properly construed, include the post-class applicants—nor the post-class applicants have sufficient countervailing equities in strict enforcement of the deadline to overcome that harm. Beyond that, circumstances have changed since the Department entered into the settlement agreement in 2022, including an unanticipated explosion in the rate of applications and the district court's unexpectedly ordering the Department to provide relief beyond that required by the settlement. And the court's specific reasons for denying relief rest on clear legal and factual errors that reflect an abuse of discretion.

A. The Equities Strongly Favored Modifying the Post-Class Applicant Deadline

1. The harm to the government and the public from enforcement of the January 2026 post-class deadline is manifest. At the time the Department moved for relief, the Department estimated that it would be able to adjudicate approximately 60,000 of the post-class applications before the deadline—but that more than 190,000 would remain. Absent modification, the Department would be required to provide those applicants with automatic discharges and refunds regardless of whether they could establish any entitlement to relief on the merits.

B. Relevant Circumstances Materially Changed After the Department Agreed to the Settlement

The unanticipated number of applications substantially increased the burden of adjudicating the post-class applications. Resolving each post-class application requires the Department to engage in an individualized review of the application "to determine

whether the borrower establishes a borrower defense by a preponderance of the evidence." ER-119. And once that individualized determination is made, the Department must engage in further individualized work either to determine the amount of appropriate relief or to "draft[] a detailed denial letter describing each allegation made, the legal standard applied to the allegation, and why the allegation did not meet the legal standard." ER-119-20.

Engaging in that individualized inquiry for 250,000 applications, rather than 35,000 or 50,000, plainly requires substantially more time and resources, increasing the burden of resolving the post-class applications well beyond what was anticipated as of June 2022. Indeed, as explained, the Department resolved approximately 60,000 post-class applications before the January deadline, which is thousands more applications than the Department received in any other five-month period since 2020. Thus, had the Department received the anticipated number of post-class applications, it is likely that the Department would have been able to adjudicate all, or nearly all, of the applications before the deadline.

C. The District Court's Additional Reasons for Denying Modification Reflect Clear Legal and Factual Errors Constituting an Abuse of Discretion

1. As an initial matter, in denying the Department's original motion to modify the deadline, the district court relied on its belief that the Department could—in the "six weeks" between the hearing and the deadline—adjudicate approximately 170,000

remaining post-class applications. ER-088; *see also* ER-088-89 ("I think it can be done. Don't tell me holidays. . . . You can take Christmas off, maybe New Year's Day off. But Government employees should work. When I worked for the Government, I worked on Christmas Day and New Year's Day. So it's possible to get this job done[.]").

But that belief is belied by the record. At the time of the hearing, the borrower-defense branch had fewer than 40 attorneys. And evaluating each application requires multiple levels of individualized analysis—including collecting evidence from a variety of sources about the school in question, reviewing that evidence along with the allegations and evidence in the application, weighing the relevant evidence, making a determination about entitlement to relief, making an additional individualized determination about the appropriate extent of any relief, and drafting (if necessary) a detailed denial letter. It is inconceivable—and controverted by the record—to think that 40 attorneys could produce 170,000 individualized decisions in six weeks, regardless whether they worked on Christmas and New Year's Day. And to the extent that the district court's conclusion was premised on the belief that such a result was possible, that conclusion was clearly erroneous.

3. Finally, in denying the Department's second Rule 60(b) motion, the district court held that the post-class applicants were in fact members of the class, even though the settlement agreement plainly reflects the parties' agreement to close the class as of the date of the settlement and thereby exclude the post-class applicants from the class.

In reaching that conclusion, the court stated that the parties' agreed upon class limitation was "rejected" by the court in its approval of the settlement, because the court considered the post-class applicants in assessing the fairness of the settlement to the class. *See* ER-007; *see also* ER-160-61 (noting that the class definition adopted by the district court at the outset of the case did not have a temporal cutoff).

The district court's understanding of the status of the post-class applicants was legally erroneous. Although the class was temporally open-ended when it was originally certified, the parties' settlement agreement expressly modifies the scope of the certified class by closing the class as of the date that the settlement was executed. That agreement was then incorporated in the final judgment, thereby superseding the preliminary certification—consistent with this Court's recognition that class certification orders are "inherently tentative" and "may be altered or amended before final judgment." *Sali v. Corona Reg'l Med. Ctr.*, 909 F.3d 996, 1004 (9th Cir. 2018) (quotation omitted); *see also* Fed. R. Civ. P. 23(c)(1)(C) (permitting such amendments). Notwithstanding the court's desire to ensure that the post-class applicants were treated fairly by the settlement, the court did not (and cited no authority to support the idea that the court could) override the parties' agreement in this respect.

CONCLUSION

For the foregoing reasons, the district court's denials in large part of the government's motions seeking an extension of the post-class applicant deadline to July 28, 2027, should be reversed.